

Disadvantages of fixed deposits

1. Better forms of investments are available

Stocks, bonds, mutual funds and commodities are riskier investment options, but they also provide better returns on investment. So if you are ready to take some risk, investing in these products is more sensible than investing in fixed deposits.

Moreover, the risk in these options reduces as you learn more and plan better for your financial freedom.

Practically, it makes sense to invest a good part of your money in securities, other than fixed deposits and savings deposits, to counter the menace of inflation. If you have to beat inflation, you need to be efficient about allocating your investments in the right investment tools and spreading them across to even out the risks. If you do not do that, the purchasing power of your money will keep going down, although your money in "absolute" terms is going up.

One of the other bigger ironies in life is that most of us are extremely good in whatever planning we do at our jobs and businesses. On the other hand, we do not even know what annualized returns we are getting from all the personal financial investments that we make from our hard earned money. Most of us have no clue whether our investments are beating inflation year on year or not. If we do not even know that, how can we take an informed decision on our investments? If financial freedom is important for us, we must roll up our sleeves, shed all our inhibitions, get our hands dirty, study more, track more and start getting savvy about our own money.

In nutshell, FDs are good to get started but cannot help you beat inflation.

2. Returns are taxable